

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

PORTS AMERICA CHESAPEAKE, LLC AND MARINE
TERMINALS CORPORATION-EAST, *Complainants*

v.

APS EAST COAST, INC., *Respondent*.

DOCKET NO. 23-04

Served: March 4, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

MEMORANDUM ORDER REGARDING MOTIONS TO COMPEL AND REVISED SCHEDULING ORDER

On February 15, 2024, the parties filed a joint motion requesting a status conference regarding their outstanding motions to compel and the briefing schedule. I held a status conference on February 20, 2024 at 1:00 PM EST at which I resolved the issues in both Complainants' and Respondent's motions to compel and instructed the parties to confer and submit a proposed updated schedule. This memorandum order memorializes the rulings made at the status conference and sets a new schedule to conclude discovery and briefing. As described below, Complainants' motion to compel is GRANTED IN PART, and Respondent's Motion to Compel is GRANTED IN PART. The Scheduling Order is amended as set forth at the end of this order.

Complainants' Motion to Compel

Complainant's primary claim is that Respondent produced documents that indicate the presence of additional documents which were not produced, calling into question the adequacy of Respondent's search. Respondent argues that its search was adequate because its Chief Operations Officer ("COO") identified custodians who were instructed to search for "responsive information generally, and also in response to specific counsel requests," as well as engaging the Information Technology department to search "older emails and files" for various keywords. It is not clear that the custodians who conducted their own searches were instructed to search by keywords, or what time period specifically was used in the search. This information is reported by Respondent as "on information and belief," since the COO is no longer with the company and was not available to provide specific information during the pendency of the motion to compel. Respondent also represents that it has conducted additional searches for overlooked material and that its corporate culture was not reliant on emails. Respondent further argues that some of Complainants' requests are not relevant.

The Commission's Rules permit discovery "regarding any nonprivileged matter that is

relevant to any party's claim or defense." 46 C.F.R. § 502.141(e)(1). The presiding officer may nevertheless limit discovery where it is unreasonably cumulative or duplicative, or where the burden or expense outweighs the likely benefit, considering such factors as the needs of the proceeding, the parties' resources, and the importance of the issues in the proceeding. 46 C.F.R. § 502.141(e)(2)(ii).

A search needs to be reasonable, not perfect. Reasonableness is based on the totality of the circumstances. Generally, courts find a search to be reasonable if the responding party can describe its search to a sufficient degree of specificity to conclude that it fairly construed the request and fashioned a search reasonably calculated to respond to the request, and that the potential benefit of additional searching is outweighed by its burden (with respect to the time and money already expended on the search, the responsiveness rate of previous searches, or other factors). *See Prasad v. George Washington Univ.*, 323 F.R.D. 88, 92–94 (D.D.C. 2017). It is not my role to dictate to a party how it should search its own documents unless there is a specific showing that it has abdicated its responsibility to do so. *Id.*

Request for Production of Documents (RPD) No. 3, 5, 8, 9 and 10. There is no dispute that these requests, which seek information related to Respondent's competitive bidding process for and selection of preferred stevedores at the port of Baltimore, are relevant. Complainant points to specific emails in Respondent's production that reference other potentially relevant emails and documents that were not produced. This does call into question the adequacy of Respondent's search. Due to the departure of the employee who oversaw collection of electronically stored information ("ESI") and the absence of documentation of the process, I was not able to ascertain either from Respondent's opposition or at the status conference which custodians or sources were searched, what terms and parameters were used, or how the initial responsiveness review was conducted. Given the absence of this information, and the fact that documents appear to be missing from Respondent's production, I could not determine that the search was reasonably calculated to respond to Complainants' requests.

Respondent is therefore **ORDERED** to conduct a supplemental search for information related to preferred stevedores, including the announcement and bidding process, communications with customers regarding the implementation of a preferred stevedore, materials considered in connection with selecting a preferred stevedore including information about Complainants, agreements with preferred stevedores, and any reports or presentations related to preferred stevedores. This search should be limited to Baltimore and to the relevant time period. The search methodology must be documented to include, at a minimum: sources/custodians searched, search parameters (date and document type), search terms used, method of responsiveness review and responsiveness rate, individuals conducting search and responsiveness review. The search must be completed, and any responsive documents produced, in accordance with the schedule in this order.

RPD Nos. 4, 7, 15, and 16. Respondent objected to requests for documents related to the Access Fee charged for use of non-preferred stevedores as overly broad. But the Access Fee is central to the case, and I find that any documents related to the Access Fee are relevant. There is no indication that Respondent searched for documents related to the Access Fee.

Respondent is therefore **ORDERED** to conduct a supplemental search for documents related to the Access Fee including consideration and implementation of the fee, invoices, notification of customers, analyses or plans, and board minutes or presentations. The search methodology must be documented to include, at a minimum: sources/custodians searched, search parameters (date and document type), search terms used, method of responsiveness review and responsiveness rate, individuals conducting search and responsiveness review. The search must be completed, and any responsive documents produced, in accordance with the schedule in this order.

RPD. No. 6. I do not find that documents related specifically to the publication of Rule 34-2 of the AMPORTS Tariff – the Rule governing the Access Fee – to be relevant to the proceeding. To the extent information related to consideration or deliberation regarding the Access Fee is relevant, the request is duplicative of RPD 4, 7, 15, and 16.

Complainants' motion with respect RPD 6 is therefore DENIED.

RPD No. 11, 12, and 14. Respondent indicated it has conducted a supplemental search and has no additional documents to produce in response to these requests. Complainants produced no evidence that the search for these items was inadequate.

Respondent is **ORDERED** to update its written response to these RPDs accordingly.

Complainants also argue that Respondent failed to produce documents in native format as requested in the instructions accompanying the request for documents. Commission Rule 146 provides that "If a request does not specify a form for producing ESI, a party must produce it in a form or forms in which it is ordinarily maintained or in a reasonably usable form or forms." 46 C.F.R. § 502.146(b)(2)(v)(B). Respondent produced ESI by converting native documents to PDF. This was not in form requested (native), not as ordinarily maintained (Respondent is not the practice of converting all of its emails to PDF, for example), nor is PDF a reasonably usable form compared to native format because metadata is lost in the conversion. *See Covad Commc'ns Co. v. Revonet, Inc.*, 260 F.R.D. 5, 9 (D.D.C. 2009) (citing Fed R. Civ. P. 34, Advisory Committee's Note to the 2006 Amendment) ("the option to produce in a reasonably usable form does not mean that a responding party is free to convert electronically stored information from the form in which it is ordinarily maintained to a different form that makes it more difficult or burdensome for the requesting party to use the information efficiently in the litigation").

Given the limited burden of reproducing its small number of documents (less than 300 pages), Respondent is **ORDERED** to reproduce these documents to Complainants in native format, and to produce any further documents resulting from its supplemental searches in native format.

Respondent's Motion to Compel

Respondent sought to compel Complainants to respond to certain categories of requests that they objected to as irrelevant, including Complainants' safety and efficiency records, the

corporate relationship between the Complainants, details of their stevedoring operations, and efforts that they undertook to negotiate or deal with Respondent.

Requests for Admission. I noted at the hearing that the form of many of Complainants' responses to Respondent's requests for admission are generally deficient. They are so interspersed with qualifications and objections as to be indecipherable. For example, Request No. 6 asks, "Admit that as of the date of the Complaint in this matter, June 2, 2023, Complainant or its counsel had not sent Complainant's safety records to Respondent or Respondent's counsel." This is a straightforward request – it is related to a subject raised in the complaint by Complainants (their safety record), is sufficiently specific, and does not seek privileged information. It nevertheless drew objections as to relevance, vagueness, privilege, and no discernable admission or denial.

I find the requests for admission identified in Respondent's motion to compel to be relevant to the proceeding, and Complainants are **ORDERED** to send updated responses to Requests for Admission Nos. 2, 3, 4, 5, 6, 7, 21, and 22. Each answer must first clearly admit or deny, or specifically identify the parts admitted and denied/qualified (or properly assert lack of information), and then may state whatever specific objections Complainants have. 46 C.F.R. § 502.147.

Safety and Efficiency Records. Respondent sought information related to the safety records and efficiency records of Complainants. Complainants assert that this information is not relevant to the proceeding because Respondent did not have this information at the time it made its decision to select a preferred stevedore. Complainants put their safety and efficiency records at issue when they asserted in their complaint that their "(health and safety track records" and "ability to ensure sufficient and consistent dockside labor") also fail to meaningfully distinguish Ports America from the preferred stevedore." Compl. at ¶ 53. What those records are, whether they do meaningfully distinguish Complainants, and when and to what extent Respondent had information about them are all factual questions which I will not decide at this time.

This information is relevant to the proceeding and Complainants are **ORDERED** to respond to Interrogatories 1, 3, 4, and 16, and to RPDs 1, 2, 8, and 9, limited to the Port of Baltimore and the relevant time period.

Relationship Between Complainant Entities. Respondent sought information regarding the corporate relationship between Ports America Chesapeake, LLC and Marine Terminals Corporation-East. Based on the parties' representations at the status conference, I determined that Complainants' responses to this category of requests was complete, with the exception of an organizational chart showing the relationship of the two entities.

Complainants are **ORDERED** to produce the organizational chart.

Details of Complainants' Stevedoring Operations. The complaint alleges three counts. The first is unreasonable preference, prejudice, or disadvantage with respect to Respondent's process for selecting a preferred stevedore, the access fee, and the approval process/advance notice. 46 U.S.C. § 41106(2); Ver. Compl. ¶¶ 48-54. The second is failure to establish just and

reasonable practices related to auto stevedoring at the Port of Baltimore. 46 U.S.C. § 41102(c); Ver. Compl. ¶¶ 55-63. The final count is unreasonable refusal to deal with respect to the access fee and the preferred stevedore selection process. 46 U.S.C. § 41106(3); Ver. Compl. ¶¶ 64-74. Respondent seeks extensive information related to Complainants' stevedoring activities nationwide, which Complainants argue is not relevant. Respondents contend in their motion that the information is relevant to the reasonableness of their selection of a preferred stevedore and imposition of the Access Fee at the Port of Baltimore. At the status conference, Respondents also argued that such information would tend to show Complainants are a "dominant provider in the port and in North America," and was relevant to damages.

Considerations of overall market share are not relevant to the claims or to damages in this case since Complainants do not allege that the preferred stevedore arrangement itself violates the Shipping Act, only that Respondent's selection process and implementation of the access fee constituted unreasonable refusal to deal, unreasonable prejudice, and failure to establish reasonable practices. But Complainants' activities at the Port of Baltimore are relevant – their own complaint alleges that they are in a competitive relationship with and similarly situated to Respondent's preferred stevedore in Baltimore, that their safety and efficiency records do not distinguish them from the preferred stevedore, that the preferred stevedore policy interferes with their existing contracts.

Complainants are therefore **ORDERED** to respond to Interrogatories No. 2, 7, 8, 12, 19, and RPD 15. All responses may be limited to activities at the Port of Baltimore and to the relevant time period. The response to Interrogatory No. 2 may be limited to supervisory personnel only. The responses to Interrogatories No. 7 and 12 may be limited to RO/RO stevedoring services. Complainants must also update Interrogatories 23 and 24 with current information regarding the named individuals.

Negotiation efforts. At the status conference, Respondents conceded that Interrogatory No. 25 has been answered. Requests for Admission No. 6 and 7 are dealt with above.

Revised Scheduling Order

The following scheduling order will govern further proceedings.

March 15, 2024	Complete fact discovery as set forth above
April 1, 2024	Fact depositions begin
May 1, 2024	Fact depositions completed
May 31, 2024	Complainant's brief, proposed findings of fact, and appendix
July 1, 2024	Respondents' opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix

July 15, 2024

Complainant's reply brief and responses to proposed findings of fact

Alex Michael Chintella Digitally signed by
Alex Michael Chintella
Date: 2024.03.04
11:48:25 -05'00'

Alex M. Chintella
Administrative Law Judge